

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 22-31

TPG PRESSURE, INC.,
COMPLAINANT

v.

OMNI LOGISTICS LLC ET AL.,
RESPONDENTS.

COMPLAINANT'S REPLY BRIEF

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SUMMARY OF ARGUMENT

In the Opening Brief, TPG explained that Respondents violated the Shipping Act Section 41102(c) because they failed to observe just and reasonable billing practices. TPG's Opening Brief described how Respondents charged mark-ups identified as "admin fees"—unpublished in their tariffs—and systematically failed to provide information about the mark-ups to TPG. Omni and Epic failed to provide proof of the propriety of at least \$584,837.29 in pass-through charges despite repeated requests from TPG. Epic and Omni never provided the master bill of lading or another documentation for pass-through charges in a timely fashion to allow TPG to determine what those carrier's charges were (Opening Brief at 24). Respondents failed to enact systemic controls to properly track containers and records resulting in avoidable demurrage charges, a fact demonstrated by the lack of such excessive demurrage and other charges when TPG employed another provider in parallel (*Id* at 25). Finally, Respondents held TPG's unrelated cargo hostage, which was a coercive collection practice. All these acts by Respondents were unjust and unreasonable in violation of Shipping Act and OSRA.

In their Response Brief, Respondents fail to rebut TPG's evidence demonstrating their unjust and unreasonable practices. Instead, Respondents resort to a straw man argument, invoking eight reasons TPG's claims should be rejected. None of these eight reasons support Respondents' claim that their practices were "reasonable and in accordance with industry standards." (Response at 5). First, Respondents attempt to manufacture a jurisdictional issue by downplaying Omni's role and claiming, against all evidence, that Omni merely performed back-office services after the merger of Omni and Epic. Second, Respondents invoke provisions of their tariffs, none of which support Respondents' contention that their practices were reasonable. Third, Respondents present a litany of excuses for their "admin fee" to circumvent a strict requirement that all mark-ups must be published in a tariff. Fourth, Respondents remarkably claim they did not fail to provide

supporting documentation for hundreds of thousands of dollars in substantial charges, asserting that proof of payment is sufficient, contrary to long-standing Commission precedent. Fifth, Respondents claim TPG has not presented evidence to support its claim that Respondents failed to prevent or mitigate unnecessary charges, which is simply untrue. Sixth, Respondents' attempts to justify their coercive collection practices—which TPG has established—fail, as the record is clear Respondents engaged in coercive and, in some instances, unlawful conduct.

In addition, Respondents' attempts to evade liability for violations of the Shipping Act Sections 41104(a)(14), (15) (OSRA) after June 22, 2022 fail for any invoices that are not pass-through. In many instances, Respondents have not rebutted TPG's evidence. And finally, TPG has articulated its damages with reasonable certainty.

RESPONDENTS FAIL TO REFUTE TPG'S PROPOSED FINDINGS OF FACT

TPG incorporates both (1) its Reply in support of its Proposed Findings of Fact and (2) its Response to Respondents' Proposed Findings of Fact by reference.

ARGUMENT

I. Omni Cannot Escape the Commission's Jurisdiction Because Omni Was Acting as A Regulated Entity with Regard to TPG

Respondents do not legitimately dispute that the allegations against both Omni and Epic fall under the Commission's jurisdiction. The Opening Brief establishes that the Commission has jurisdiction over both Epic and Omni because they acted as NVOCCs with respect to the shipments at issue in this case because (A) Epic and Omni acted as common carriers; (B) Epic and Omni acted as shippers in their relationship with the ocean common carriers for the Shipments; and (C) Epic and Omni do not operate the vessels by which the ocean transportation is provided. In their

Reply brief Respondents do not dispute that they both satisfied all the elements above. Their only response is that “although Omni is a licensed NVOCC, its status as an NVOCC is irrelevant to this dispute because Omni did not perform any services subject to the Commission’s jurisdiction.” (Response Brief at 7). Respondents’ argument is utterly baseless.

1. Omni Acted as an NVOCC Vis-à-Vis TPG

The Commission unquestionably has jurisdiction over this claim as against Omni because Omni was acting as a regulated NVOCC with regard to TPG. Pursuant to 46 U.S.C. § 41301(a), the Commission has jurisdiction over a complaint alleging that a respondent committed an act prohibited by the Shipping Act. *See Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, 30 S.R.R. 991, 2006 WL 2007808, at *8-9 (FMC May 10, 2006); *see also Cargo One, Inc. v. Cosco Container Lines Co., Ltd.*, 28 S.R.R. 1635, 2000 WL 1648961, at *14 (FMC Oct. 31, 2000). TPG alleges that Omni, jointly with Epic, violated the Shipping Act because it engaged in deceptive and fraudulent conduct in its billing practices. The violations of the Shipping Act attributed specifically to Omni included, *inter alia*, charging TPG hundreds of thousands of dollars in demurrage, detention, chassis fees, and other fees with no legitimate basis or proper documentary support, unlawful holding TPG’s containers for ransom, and charging TPG illegal mark-ups. The record is abundantly clear that Omni these practices with respect to TPG.

2. Record Evidence Demonstrates Omni Took Responsibility over TPG Shipments

Respondents’ misleading and self-serving assertion that “Omni merely performed back-office services” (Response Brief at 7) is contradicted by the evidence in the record. Beginning in at least December 2020 when Epic invoices began referring payment to Omni (Capp000001, Invoice 1489082, dated December 11, 2020), Omni began to replace Epic in its dealings with TPG.

By at least June 16, 2021, Epic's emails contained a footer noting Epic was partnering with Omni "[a]s a wholly owned subsidiary." (Email from Manzanarez to Basiri, dated June 16, 2021, Capp011017.) The Epic employees TPG dealt with before became Omni employees in 2021 when Epic transitioned to Omni. PFF, ¶ 31. (Manzanarez Dep. (Epic) 14:1-21; 36:9-11, Capp010213, Capp010218.) For example, David Ikemoto, Epic's former Director of International Operations, became Omni's Logistics Director of International Operations. (PFF ¶ 38 (admitted)). Initially, TPG made purchase orders to Epic but when Epic became Omni the purchase orders were made to Omni. PFF, para 43. (Basiri Decl. ¶ 7). By at least July 2021 TPG was making purchase orders out to Omni. (CApp010204).

By December 2021 at the earliest, Omni replaced Epic in correspondence with TPG and began issuing quotes directly to TPG. (Email from Ikemoto of Omni to Basiri of TPG, Dec 9, 2021, CApp 010169). When in January 2022 TPG raised concerns regarding missing documentation, all mechanisms and personnel facing TPG were from Omni. Mr. Chen of Omni noted that there was an ongoing problem in providing supporting documentation. (PFF ¶¶ 96-97; email from Chen to Manzanarez, Jan 6, 2022, Capp10588). That same day, Yohanse Manzanarez of Omni admitted "we [our team] has not managed this process well this past year." (Email from Manzanarez to Chen. Jan 6, 2022, Capp10587-88.). On January 7, 2022, Manzanarez of Omni added "We have done a terrible job of managing this account." (Email from Manzanarez to Moran dated Jan. 7, 2022, Capp10631).

In April 2022, Mr. Ikemoto of Omni sent an internal email to Omni's International Account Manager, Brenda Quinones, detailing the issues the TPG account was having, which included errors in the information entered in the invoices, failure to communicate with TPG, failure to upload all the required documentation, and inaccuracy in container numbers, among other things.

(Email from Ikemoto to Quinones, dated April 1, 2022, Capp10690-91; PFF ¶ 112). Ms. Quinones of Omni confirmed Respondents' systemic lack of organization and that the personnel issues raised internally back in 2021 had not been remedied. (Email from Quinones to Ikemoto, dated April 1, 2022, Capp10689-90.; PFF ¶ 113). She also identified concerns with agents Omni was using in Colombia and slow payment by Omni which led to problems with truckers. *Id.* In May 2022, Omni demanded that unless TPG paid allegedly outstanding amounts it would stop delivering cargo to TPG, including the containers in transit. (Basiri Decl. ¶ 25). Omni refused to release a shipment to TPG unless \$1.7M was paid to Epic and Omni. (PFF ¶ 136-37).

The evidence above represents just a few examples of how Omni assumed responsibility for the services provided to TPG from 2021 onwards and engaged in unjust and unreasonable billing practices. Respondents' assertion that Epic's operations were not "fully integrated" into Omni until April 2023, even if true, has no bearing on the Commission's jurisdiction in this dispute. Rather than merely performing back-office services, as Respondents baselessly claim, Omni acted as a regulated entity with respect to TPG and in doing so engaged in unjust and unfair billing practices prohibited by the Shipping Act. There can be no question that both Omni and Epic are proper respondents.

3. FMC Precedent Supports Jurisdiction over Omni

Respondent's contention that it was Epic that performed the services in connection with which Omni engaged in unlawful billing practices with respect to TPG in violation of the Shipping Act does not deprive the Commission of its jurisdiction over the claims against Omni. In *CMI Distribution*, the respondent SBA was not a licensed NVOCC, but its wholly owned subsidiary, SBA Consolidators, was a licensed NVOCC. The Commission rejected SBA's contention that it had not acted as a common carrier with respect to the complainant CMI. The Commission found

that SBA assumed responsibility for the transportation because it charged CMI for ocean freight, issued invoices and exercised its authority over the release of the cargo on its own behalf as leverage to collect its fees for services. *CMI Distribution, Inc. v. Service by Air, Inc.*, 3 F.M.C.2D 8, 2021 WL 9204113 at *18 (FMC 2021).

As in *CMI*, Omni charged TPG ocean freight (plus charges like import duties and detention, etc.) instead of fees that an agent would use. (PFF ¶¶ 23, 25). It is undisputed that Omni assumed responsibility for the cargo because of Omni's ability to control cargo release vis-à-vis TPG—it was Omni that stated it would refuse to deliver containers to TPG if \$1.7M was not paid. (Email from Heathcock to Basiri, dated May 17, 2022, CApp010705). Following its acquisition of Epic in 2021, Omni took over communications with TPG with respect to NVOCC services, all emails were sent to TPG. (*Id.*). Finally, according to the Amended & Restated Operating Agreement of Epic Freight Solutions LLC Dated April 2, 2021, Omni Logistics LLC is the sole member with full authority and sole control over Epic. (Section 4.1(a), CApp010897). Respondents admit in their own Proposed Findings of Fact that they both issued charges to TPG (Resp. PFF ¶ 4), profited from TPG (Resp. PFF ¶ 5), and provided services to TPG (Resp. PFF ¶¶ 6-8). Key employees of Epic became Omni employees by April 2021. (TPG's Reply to Respondents' PFF ¶ 10.)

II. Respondents Failed to Observe Just and Reasonable Billing Practices

Respondents violated the Shipping Act by, *inter alia*, (1) failing to provide documents establishing the propriety of substantial charges, (2) charging “admin fees” not in their tariff, and (3) unlawfully exercising their lien rights to engage in coercive collection practices. Respondents lean on Epic's Tariff and Terms & Conditions, but these cannot absolve Respondents of their duties under the Shipping Act.

A. Respondents Failed to Provide Proof of Propriety for Substantial Charges

The heart of this dispute are Respondents' substantial undocumented charges to TPG. **Substantial undocumented charges are presumptively unreasonable.** *Gruenberg-Reisner v. Overseas Moving Specialists d/b/a International Sea & Air Shipping*, 2017 WL 2241031, at *10 (May 17, 2017). FMC precedent firmly establishes that, **where charges are substantial, they must be supported with proof of their propriety.** *C.H. Leavell & Co. v. Hellenic Lines, Ltd.*, 13 F.M.C. 76, 89 (FMC 1969). In the Opening Brief, TPG demonstrated that Omni and Epic failed to provide proof of the propriety of at least \$584,837.29 in pass-through charges despite repeated requests from TPG. (PFF ¶¶ 144-50).

1. Respondents Admit to Providing Only Proof of Payment

Respondents have admitted that they provided to TPG only credit card receipts showing proof that Respondents paid the charges, not invoices from terminals or carriers showing the breakdown of charges. (Resp. PFF ¶ 53, stating "the receipts Respondents provided to TPG for demurrage were 'more of a payment confirmation' than an invoice.") This is not sufficient to establish "proof of the propriety" of substantial charges under *C.H. Leavell & Co.*, 13 F.M.C. at 89 and *Gruenberg-Reisner*, 2017 WL 2241031, at *10, because it does not allow TPG to assess if the sums charged correctly reflect incurred charges.

2. Respondents Did Not Consistently Provide Gate Tickets

Respondents contend that "[w]ith each invoice, Respondents provided TPG with in gate and out-gate tickets demonstrating the date the container left the terminal and was returned, proof of payment to marine terminals and ocean carriers, bills of lading, and other shipping documents" however they fail to provide the documents supporting this assertion. (Response Brief at 12). It is

clear from TPG's Shipment Chart (CApp011020)¹ that 485 invoices on that chart that had chassis charges did not have in-gate and out-gate tickets, or the tickets provided had an incorrect container number, did not have a container number at all, or had no invoice number. Of those invoices with storage charges (238), 106 either had no in-gate and out-gate tickets, or the tickets provided had an incorrect container number, did not have a container number at all, or had no invoice number.

The only documents Respondents provided, as they admit, were credit card slips (often as screenshots), however this is not sufficient to assess whether the charges were accurate and valid. Respondents' attempt to argue from the contrary by suggesting they "obviously had no incentive to pay expenses out of pocket if they were not legitimately owed" (Response Brief at 13) is unavailing. By their own admission, Respondents paid charges by credit card (Response Brief at 11) with full confidence they were secured by lien rights over any TPG's cargo (Response Brief at 20). Ergo, Respondents had no incentive to ensure charges were reasonable.

3. TPG's Needs Were Historically Known to Respondents

In addition, it is unclear why, having historically provided all the required documentation to TPG without incident, Respondents were suddenly unable to do so. Respondents admit to having had access to the demurrage charge specifics on a website but not conveying the details of the charges to Complainant. (Ikemoto Dep. 132:19-25, 133:1-7, CApp010322.) Respondents admit in contemporaneous emails that they had internally failed to obtain and provide documents TPG had always historically required. (Email from Manzanarez to Moran dated Jan. 7, 2022, CApp10631, stating "These are also the same requirements that they have had all along. Our team has

¹ Respondents complain about the evidentiary value of the Shipment Chart, an argument that carries no weight. FRE 611(a) and 1006 support the admission of this chart as a compilation of evidence that comprises hundreds of shipments.

mismanaged the account. This is not a Thompson issue.”). Mr. Manzanarez further stated: “Historically, we have had a great partnership with Thompson Pipe. They require several pieces of documentation upon delivery. This is needed for audit purposes. Unfortunately, we [our team] has not managed this process well this past year.” (Email from Manzanarez to Shuo, dated January 6, 2022, Capp010588.) (Brackets in original)). It is difficult to believe that Respondents’ new failure to provide invoices from marine terminals or ports was because terminals and ports suddenly stopped issuing invoices or providing them upon request.

The internal correspondence among Respondents’ personnel further establishes that Respondents repeatedly recognized the mounting issues with improper documentation of invoices, however Respondents’ management failed to remedy those issues. (PFF ¶¶ 96-114). It is too convenient for Respondents to amass enormous unsupported demurrage charges through their own mismanagement and then eschew any responsibility by forcing TPG to pay these charges.

Respondents attempt to distinguish *C.H. Leavell & Co* and *Gruenberg-Reisner*, but they misinterpret these two cases. In *C.H. Leavell*, the respondent introduced evidence of increased voyage distance and duration, which the Commission concluded was “sufficient to overcome any presumption of unreasonableness.” *C.H. Leavell* at 76, 89. No such evidence was introduced by Respondents here. Respondents quote the Commission’s decision in *Gruenberg-Reisner* for the proposition that invoices are not the only measure of reasonableness of Respondents’ practices and recommending other factors, such as whether the charges were similar to those assessed by other NVOCCs. In *Gruenberg-Reisner*, the respondent was given an additional opportunity to demonstrate that the charges in question were reasonable even if it could not produce the actual invoices. The respondent in that case submitted certain documents the Small Claims Officer ultimately found to be of limited probative value to support the reasonableness of charges.

Gruenberg-Reisner v Overseas, Decision on Remand 2017 WL 2241031, at *35. The *Gruenberg-Reisner* decision, citing *Steadman v. SEC*, 450 U.S. 91 (1981), at 102 and at 101 n.16) (“Where a party having the burden of proceeding has come forward with a prima facie or substantial case, he will prevail unless his evidence is discredited or rebutted”), ultimately found that the respondent did not rebut the claimants’ evidence and was not entitled to collect the terminal handling charges collected from the claimants. *Gruenberg-Reisner v Overseas*, 2017 WL 2241031, at *14 (FMC May 17, 2017).

Even if, as Omni and Epic allege, invoices were wholly unavailable (which Respondents have admitted was not the case (Resp. PFF ¶ 7), they have had ample opportunity to provide other evidence justifying the substantial charges. Still, Respondents have provided only credit card receipts. As in *Gruenberg-Reisner*, the credit card slips are of limited probative value to evaluate whether the charges were reasonable. TPG submitted evidence of substantial charges in the amount of \$584,837.29 that Respondents have been unable to justify. Consistent with *Gruenberg-Reisner*, TPG submitted evidence that Respondents’ charges far exceeded those assessed by other providers, such as MCM Transportation. (PFF ¶¶ 93, 132). Respondents failed to rebut the presumption that their undocumented substantial charges were unjust and unreasonable.

4. **The Requirement That Substantial Charges Be Supported by Proof of Propriety Is Not Limited to OSRA 2022**

Respondents argue that this requirement was absent from the Shipping Act prior to the enactment of OSRA 2022. (Response at 12). But OSRA 2022 essentially codified the existing law on the subject, such as the Interpretive Rule on Demurrage and Detention Under the Shipping Act of May 18, 2020, and case law requiring that substantial charges must be documented. The Commission observed in the 2020 Interpretive Rule: “The Commission received a number of

comments about billing and invoices. There was little dispute that **demurrage and detention bills should have enough information for those receiving the bills to assess their accuracy and validity.**” Interpretive Rule on Demurrage and Detention Under the Shipping Act, 85 FR 29638-01 at 27 (May 18, 2020) (emphasis added). Respondents’ assertion that they did not have to provide that information prior to enactment of OSRA 2022 falls flat. As a matter of fact, Respondents’ personnel repeatedly admitted there was an ongoing problem in providing supporting documentation to TPG that had historically been provided. (PFF ¶¶ 69-70; 74-82; 114).

In an effort to excuse their blatant failure to substantiate the charges, Respondents cite the Initial Decision in *Bakerly, LLC v. Seafrigo USA Inc.*, FMC Docket No. 22-17, Initial Decision (Jan 3, 2024) for the proposition that “case law does not support [the] position that pass-through charges must always include the underlying ocean carrier/marine terminal invoices.” *Id.* Respondents engage in a strawman argument. It is not TPG’s contention that Respondents’ charges must always include the underlying carriers’ *invoices*. All TPG has repeatedly asked Respondents is to provide *any* kind of documentation supporting reasonableness of the charges. Respondents failed to do so.

B. Epic’s Tariffs and T&C Do Not Excuse Respondents’ Unjust and Unreasonable Practices

Faced with the indisputable evidence establishing Respondents’ violations of the Shipping Act, Respondents attempt to invoke provisions of Epic’s Tariff and Terms and Conditions to argue that TPG was obligated to pay pass-through charges above the amount of freight charges, such as demurrage and detention. Respondents miss the point. It is not in dispute that the NVOCC has the right to impose pass-through charges – the issue is that substantial charges must be documented

with proof of their propriety. *See C.H. Leavell & Co. v. Hellenic Lines, Ltd.*, 13 F.M.C. 76, 89 (FMC 1969).

1. Epic's T&Cs and Tariff Provisions Do Not Require Payment of Substantial Charges Without Proof of Propriety

TPG has established, and Respondents have admitted, that Respondents provided only credit card receipts proving that they paid charges, with no detail to allow TPG to evaluate the correctness or validity of the charges. (Resp. PFF ¶¶ 54-55). Respondents therefore failed to provide documentation supporting demurrage, storage, and chassis charges to the tune of hundreds of thousands of dollars. Respondents had an obligation to support the pass-through charges with proper documentation. No provisions of Epic's Tariff cited by Respondents relieve it from the obligation to document the propriety of pass-through charges. In any event, the tariff language cannot override the statutory requirements of the Shipping Act. The Commission explained: "... whether commercial arrangements are *lawful* is the point. Ocean carriers ... (and ocean transportation intermediaries) do not have an unbounded right to contract for whatever they want. They are limited by the prohibitions of the Shipping Act, one of which is section 41102(c)." Interpretive Rule on Demurrage and Detention Under the Shipping Act, 85 Fed. Reg. 29638, 29648 (May 18, 2020) (codified as 46 C.F.R. Part 545).

If a practice in a tariff is "unreasonable" within the meaning of the 46 U.S.C. § 41102(c), it is no defense to rely on the tariff as an excuse for alleged violations of the Shipping Act. In addressing differences between tariffs and the Shipping Act under the "filed rate doctrine" the Commission observed:

This issue involves reconciling two different prohibitions in the Shipping Act. The Shipping Act incorporates the filed rate doctrine by prohibiting common carriers from providing service in the liner trade that is "not in accordance with the rates, charges,

classifications, rules, and practices contained in a” published tariff. The Shipping Act also, however, prohibits common carriers from failing “to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” **If a practice (or the absence of a practice) in a tariff is “unreasonable” under the latter prohibition, it is no defense to rely on the former.** “The [filed rate] doctrine is meant to preserve the integrity of filed tariff laws, not to provide carriers with an irrebuttable excuse for alleged violations of the Act.

Interpretive Rule on Demurrage and Detention Under the Shipping Act, 85 Fed. Reg. 29638, 29648 (May 18, 2020) (codified as 46 C.F.R. Part 545 (citing *Total Fitness Equipment, Inc. v. Worldlink Logistics, Inc.*, 1998 WL 940255, at *10 (FMC Dec. 10, 1998) (emphasis added))).

2. Epic’s T&Cs and Tariff Provisions Do Not Supersede FMC Precedent

It is well established that “[t]he act of holding a shipment for an unrelated shipment’s charges is an unreasonable practice under the Shipping Act.” *Adebisi A. Adenariwo v. BDP International, ZIM Integrated Shipping, Ltd. et. al.* 2013 WL 12618258, at *6 (FMC Mar. 7, 2013). The carrier’s right to assert a maritime lien should not be used to induce payment for charges unrelated to the shipment at issue. *Petra Pet, Inc. v. Panda Logistics Ltd.*, Docket No. 11- 14, 2013 WL 9808694 (FMC Oct. 31, 2013); *see also Bernard & Weldcraft Welding Equip. v. Supertrans Int’l, Inc.*, FMC Docket No. 02-12, 2003 WL 136313 (ALJ Jan. 8, 2003).

In an attempt to justify holding TPG’s unrelated containers as ransom, Respondents invoke provisions of Epic’s tariff providing that “Epic shall have a lien . . . for all claims for charges, expenses or advances incurred by [Epic] in connection with this shipment, or any previous shipment” and Epic’s Terms and Conditions granting it lien rights with respect to “a prior shipment” or “a future shipment(s).” (Response Brief at 9). These provisions of Epic’s tariff run

roughshod over the Commission's precedent that prohibits the use of lien to coerce payment of debt for other shipments. *See Bernard & Weldcraft Welding Equip.*, 2003 WL 136313, at *10; *Adair v. Penn-Nordic Lines, Inc.*, 26 S.R.R. 11, 19 (ALJ 1991).²

In *Petra Pet*, the respondent, Panda, similarly attempted to rely on the lien provisions of its conditions of carriage to justify withholding cargo and demanding payments for other shipments. The Commission found that Panda's acts violated section 41102(c). The Commission explained: "A maritime lien secures money lawfully owed for the carriage of that particular shipment. The lien only secures payment for the shipment of the cargo subject to that lien, however." *Petra Pet, Inc.*, 2012 WL 11914703, at *21. Further, the question of whether a carrier has violated the Shipping Act turns on whether it has established reasonable practices in the implementation of its lien rights. *Mavl Capital Inc., Iam & Al Group Inc., & Maxim Ostrovskiy v. Marine Trans. Logistics, Inc., et al.*, FMC Docket No. 16-16, 2021 WL 4554718, at *23 (ALJ Sept. 29, 2021). Accordingly, the provisions of Epic's Tariff do not afford Respondents an excuse for their unjust and unreasonable conduct under the Shipping Act.

² Respondents attempt to rely on the U.S. Supreme Court's *The Bird of Paradise* decision for the unremarkable proposition that shipowners have a lien on cargo for the freight and may retain the goods for unpaid freight amounts 72 U.S. 545 (1866), and *In re World Imports Ltd.*, 820 F.3d 576 (3rd Cir. 2016), which provides that a carrier may assert a lien on goods in its possession for amounts owed on cargo no longer in its possession or previously released shipments. (Response at 20). Both cases concern maritime liens for unpaid ocean freight charges where the shippers had gone bankrupt, and the issues involved the priority status of the maritime lien on the cargoes in light of the shipper's bankruptcy. Neither case addressed the Shipping Act. Both cases are clearly distinguishable and neither supports enforceability of Epic's Tariff provisions or their reasonableness under the Shipping Act.

C. Respondents' "Admin Charges" Were Unjust and Unreasonable

As TPG explained in its opening brief, to be just and reasonable, charges by Respondents must be (i) pass-through charges with no markup (*Gruenberg-Reisner*, 2017 WL 2241031, at *12) and (ii) published in a tariff (*CMI Distribution, Inc.*, 2021 WL 9204113, at *27). Respondents' 5 percent "administrative charge" on TPG fails on both counts. (Opening Brief at 22).

Section 40501(a) of the Shipping Act requires common carriers to publish all their rates and charges in a tariff, unless subject to an exception or exemption.

Section 41104(a)(2)(A) of Title 46 prohibits common carriers from "provid[ing] service in the liner trade that is not in accordance with the rates, charges . . . and practices contained in a tariff published or a service contract, . . . unless excepted or exempted." The ALJ explained that while SBA could have legally passed demurrage and detention charges imposed by downstream carriers along to CMI with no markup, it could not lawfully add its own charges for detention and demurrage because they were not set forth in a published tariff."

CMI Distribution, Inc., 2021 WL 9204113, at *27. No exception or exemption applies here, and Respondents do not attempt to identify any. Instead, to circumvent the plain statutory requirement that all charges must be published in a tariff, Respondents allege that they informed TPG of the markups and TPG agreed to pay them.

Respondents cite the Initial Decision in *Bakerly*,³ to argue that Respondents' 5 percent charge was not unreasonable because it was allegedly disclosed to TPG. That decision is distinguishable on facts. First, in *Bakerly*, the 5 percent finance charge was published in a tariff. ("Seafrigo's 2022 standard tariff lists a "Finance Fee/Per Diem/Demurrage/Detention" charge as

³ This decision is not final and is pending review by the Commission. *Bakerly v. Seafrigo*, FMC Docket No. 22-17, Notice of Commission Determination to Review, (Jan 4, 2024).

“5% of total demurrage/detention cost.”). *Bakerly* at 60. Here it is undisputed that Respondents’ 5 percent “admin charge” was not published in a tariff.

Second, in *Bakerly*, the complainant never specifically objected to the 5 percent fee, which was clearly communicated as an “unsecured finance charge.” Here, Respondents imposed an arbitrary 5 percent “admin fee” to which TPG has objected. The belated assertion that the markup included a 3 percent credit card fee imposed by vendors is unsupported and, in any event, does not explain the 5 percent “admin fee.” Simply put, Respondents imposed a five-percent administrative fee to pad their profits. Respondents’ allegation that TPG agreed to pay the markup is equally baseless. Respondents’ only support for that proposition is Mr. Basiri’s email stating “You and I discussed starting to add 5 percent admin fee for pass through charges.” It does not follow from that correspondence that TPG agreed to pay the markups. As a matter of fact, TPG objected to additional “admin” fees on its account that had not previously been negotiated. (Email from Basiri to Manzanarez, dated February 1, 2021, CApp011008.)

D. Respondents Failed to Prevent or Mitigate Unnecessary Charges, and TPG Has Presented Evidence to Support Its Claim

In the Opening Brief, TPG thoroughly presented argument and evidence that Respondents routinely failed to provide timely information concerning preventable charges, including demurrage and chassis charges, among others. (Opening Brief at 19). In their Response Brief, Respondents conveniently state that TPG has provided no evidence supporting its claim. (Response Brief at 14-15). As a first matter, this is simply untrue. Second, Respondents overlook the fact that TPG repeatedly requested and demanded information concerning demurrage and other charges, which Respondents have utterly failed to provide. Respondents cannot be rewarded for

their failure to provide information, and they cannot use a purported lack of evidence that they themselves caused as both a sword and a shield.

Respondents' attempt to discredit TPG's mention of hiring another provider that pulled shipments more quickly fails. In the recent Initial Decision in *Bakerly*, the issue before the ALJ was whether the invoices presented by the respondent were "confusing," and if so, whether that invoicing was unreasonable. In any case, the ALJ simply commented that the sole fact that the complainant hired another NVOCC, without more, does not establish unreasonableness of the "less efficient practice" *Bakerly* at 62. Here, TPG's principal argument is that Respondents failed to enact systemic controls to properly track records that would prevent incurring avoidable demurrage charges or even sufficient documentation for TPG (or Epic and Omni themselves for that matter) to assess the propriety of the charges after the fact. (Opening Brief at 25). In that context, Respondents' unreasonable practices further came to light when TPG employed another provider that did not cause the same problems. This case is more similar to *Gruenberg-Reisner*, cited by Respondents (Response Brief at 14) for this exact proposition, where other factors, such as whether the charges were similar to those assessed by other service providers, were deemed appropriate under the circumstances to evaluate the reasonableness of an NVOCC's charges. *Gruenberg-Reisner v. Overseas Moving Specialists, Inc.*, 34 S.R.R. 613, 623 (FMC 2016). Even if that fact alone does not prove Respondents' practices were unreasonable, it is persuasive evidence that adds to the totality of the circumstances showing the unreasonable nature of Respondents' practices.

Despite TPG's many requests for timely information regarding demurrage and detention charges, information only Respondents were in a position to obtain and provide to TPG, Respondents failed to provide sufficient information in a timely manner for TPG to attempt to

mitigate costs. These failures resulted in unnecessary charges. Respondents cannot stand to benefit from their negligent, unresponsive practice of withholding information from TPG. In sum, Respondents' arguments as to this issue fail.

E. Respondents Engaged in Unlawful Collection Practices

Respondents plainly engaged in a coercive collection practice, and Respondents' attempts to refute TPG's presentation on this issue fall flat. The events described in TPG's Opening Brief concerning 81 containers *does* constitute a practice, because it occurred on a continuous basis for several days, causing injury to TPG. Whether the 81 shipments were held hostage in one collective instance is of no import. (Opening Brief at 19 n.45).⁴ The statutory authority and commentary on this issue make clear that each day of a continuing violation is a separate violation, and that a single, continuing violation over the course of days constitutes a practice. *See id.* Accordingly, Respondents' threats to hold hostage 81 containers over the course of 14 days unless TPG acceded to Respondents' ransom of \$1.7 million (the totality of which was not even yet due to be paid) resulted in 1,134 separate violations of Section 41102(c), and an unlawful exercise of Respondent's lien rights.

⁴ Opening Brief n.45 cites *Statement by Commissioners Carl W. Bentzel and Max Vekich on FMC's approval of the \$2 million Settlement Agreement with Hapag-Lloyd*, (June 10, 2022), available at <https://www.fmc.gov/statement-by-commissioners-carl-w-bentzel-and-max-vekich-on-fmcs-approval-of-the-2-million-settlement-agreement-with-hapag-lloyd/> (stating "we believe that under 46 U.S.C. § 41107(a), each day of a continuing violation constitutes a separate violation. As determined by the ALJ, Hapag-Lloyd's unjust and unreasonable practice was to assess detention and demurrage when there were insufficient appointments available. Accordingly, each day that this practice was in place should constitute a separate violation."); 46 U.S.C. § 505 ("Each day of a continuing violation is a separate offense" with respect to knowingly and willfully violating a regulation or order of the Commission or the Secretary of Transportation); 46 C.F.R. § 515.1(b) (stating "Each day of a continuing violation shall constitute a separate violation" with respect to violations for operating as an OTI without a proper license or registration).

1. Each Day of Withholding for Each Container Is a Separate Violation

Respondents rely on *Investigation of Certain Practices of Stockton Elevators*, 8 F.M.C. 187 (Examiner 1964) aff'd 8 F.M.C. 181 (FMC 1964), to further their argument that the 1,134 separate violations were not a practice, but that case is easily distinguishable and not applicable here, as reflected in Respondents' own parenthetical. *Stockton* was a Commission investigation into certain purported allowances or commissions that Stockton Elevators was alleged to have provided to Mitsui & Co., Ltd. in the form of reduced wharfage rates. *Stockton* at 196. The Initial Decision explains that the case concerned "one shipment involving a reduction in wharfage and five shipments involving allowances." *Id.* at 197. Stockton Elevators and Mitsui argued that the investigation failed to demonstrate a practice in violation of the Shipping Act. *Id.* The primary focus of the Initial Decision in determining that no violation of the Shipping Act occurred was that the six allowances or concessions were not unjust or unreasonable. In fact, the Examiner explained that these instances in fact served the public interest, and that "[n]o one was denied anything, prejudiced, disadvantaged or discriminated against in any way." *Id.* at 201. This decision simply does not apply. TPG suffered damage in that it was forced to pay \$1.7M, a portion of which was not yet due to be paid, in order to prevent far great harm to its company and clients if Respondents withheld its 81 shipments.

Next, Respondents' suggestion that only three containers were affected is misguided. The crux of the argument concerning all 81 containers is that TPG was, again, required to pay hundreds of thousands of dollars due to Respondents' unilateral detention of the containers to avoid having the other 78 containers be affected. That is a quintessential coercive collection practice. Indeed, TPG has established that Respondents' practice caused damages, namely by forcing TPG to pay hundreds of thousands of dollars it does not believe are due to Respondents.

Contrary to Respondents' assertions, TPG *does* establish how Respondents' practice caused damages. First, the wrongful threats to retain cargo for payment of unrelated, prior disputed invoices forced TPG to pay hundreds of thousands of dollars to avoid an adverse event. Second, Respondents completely disregard TPG's arguments that Epic and Omni failed to enact systemic controls to properly track containers and records. (Opening Brief at 25).

2. Respondents' Unlawful Practice Caused TPG Damage

In attempting to pick apart TPG's arguments concerning the wrongful withholding of containers, Respondents suggest that they did not cause any damages for withholding containers CMAU4830227, CMAU4265316, and DRYU9980059 because demurrage charges were paid through May 10, 2022. (Response Brief at 18). Respondents miss the mark. Even if it were true that demurrage was paid through May 10, 2022, there remain several issues for which TPG has valid claims concerning these three containers. First, Respondents threatened to withhold delivery on May 17, 2022, which is after the date through which demurrage was allegedly paid, the containers seemed to have continued incurring storage and chassis costs. (*See* Rapp179). Second, Respondents' own documents reflect a discrepancy as to whether the containers were delivered on June 1, 2022, which is the date on the interchange receipt, or on May 27, 2022, as Respondents allege and as stated on a Mecca & Son Trucking Co Invoice. (*See* Rapp180). In any event, whether delivery occurred on May 27, 2022, or June 1, 2022, establishes nothing. Respondents withheld these containers since at least May 17, 2022, seeking to extort \$1.7 million from TPG, and in fact, TPG had made a first payment on May 20, 2022. (Basiri Decl. ¶ 26). Why delivery did not occur until May 27 or June 1, 2022 remains unclear: either Respondents withheld TPG's cargo on purpose—which is unlawful—or Respondents simply forgot about the cargo—which would be

negligent and further indicia of Respondents' constant state of chaos. In sum, Respondents have failed to rebut TPG's claims on this issue.

Respondents rely on the Commission decision in *CMI Distribution, Inc. v. Service by Air, Inc.*, 3 F.M.C.2D 8, 2021 WL 9204113 (FMC 2021), for their argument that even if Respondents withheld TPG's cargo, that action would not be unreasonable under the Shipping Act. (Response Brief at 18). That case is also easily distinguishable. There, the Commission affirmed the Initial Decision insofar as Service by Air ("SBA") violated 46 U.S.C. §§ 40501, 40901(a), and 41104(a)(2)(A). *Id.* at *15-16. The Commission reversed the ALJ's Initial Decision that had found the existence of violations of Section 41102(c). In doing so, the Commission stated that "the evidentiary record is unclear on that issue and it has no bearing on Complainant's relief." *Id.* at *16 The Commission found that having already established reparations for Section 41104(a)(2)(A) claims, there did not appear to be additional damages related to the Section 41102(c) claim. *Id.* at 28-29. Further, the record was unclear as to what charges demanded were related to the withheld container(s) and which charges demanded were related to prior shipments. *Id.* That is not the case here, where all of the charges demanded by Respondents upon threatening to withhold 81 containers were related to prior shipments. There is no ambiguity.⁵

⁵ As a further matter, in *CMI*, the Commission indicated that it relies on Rule 406 of the Federal Rules of Evidence to determine what a "practice" is. Rule 406 "provides that "[e]vidence of a person's habit or an organization's routine practice" is admissible "to prove that on a particular occasion the person or organization acted in accordance with the habit or routine practice." Fed. R. Evid. 406. Respondents can rebut these inferences with evidence of their actual conduct or status or other compelling facts. *Id.* Here, Respondents did not sufficiently rebut the inferences with evidence of their actual conduct. Rather, they simply flatly rejected TPG's arguments, which is insufficient to overcome the evidence of their practice.

TPG has articulated injury with respect to the containers held hostage, contrary to what Respondents allege. Specifically, TPG claims a certain demurrage sum in addition to the fact that TPG had to pay for charges that were obviously disputed. Respondents' attempt to downplay these issues fails. TPG's Proposed Findings of Fact state that "TPG paid \$361,094.39 and then another \$417,000, sums it disputes, to get the cargo flowing again." (TPG PFF ¶ 137 (citing Basiri Decl. 26.)). In the meantime, Omni's and Epic's actions caused real harm to TPG because they prevented TPG from pulling containers. *See* Ex. D. to First. Am. V. Compl., CApp10546.

3. **Respondents Unlawfully Exercised Their Lien Rights**

Respondents' practice of threatening to withhold cargo to coerce payment of prior invoices is not a valid exercise of their lien rights. First, Epic's claimed right to a lien on property ignores the fact that there were disputed charges, which TPG articulated to Epic and Omni in writing. (*See, e.g.,* TPG PFF ¶¶ 76, 81, 84, 86, 93, 95-97, 141). The practice also ignores the fact that Respondents failed to produce any justification or evidence of the propriety of the demurrage, etc. charges that Respondents seek to recover from TPG. Simply because it may have lien rights does not mean Epic has *carte blanche* to claim a disputed payment and hold hostage TPG's property.

Second, and more egregiously, Respondents seek to rely on Epic's lien language for the proposition that the language allows Epic to place a lien on cargo for allegedly unpaid prior invoices. Epic is precluded from going beyond the statutory limitations of lien rights, and its purported ability to place a lien on cargo other than the shipment at issue for which it seeks to collect is unlawful. This is a clear violation of the Shipping Act, where Respondents are not entitled to create rights that transcend what the statute allows.

Indeed, in *Adebisi A. Adenariwo v. BDP International, Zim Integrated Shipping, Ltd. and its Agent (Lansal) et al.*, Dkt. No. 1921(I), 2013 WL 12618258 (Mar. 7, 2013) the respondent, Zim

Integrated Shipping, Ltd. (“Zim”) was found to have violated the Shipping Act under very similar circumstances as those here. Zim claimed it could withhold cargo for unpaid prior invoices because its lien language allowed it to do so—just as Epic argues in the Response Brief. The language at issue purported to allow Zim to place a lien “for all previously unsatisfied debts whatsoever due the Carrier, his servants or agents, by the Merchant.” *Id.* at *5. The Settlement Officer rejected this argument, citing to *Bernard & Weldcraft Welding Equip. v. Supertrans Int'l, Inc.*, which holds that “disputes over earlier unrelated shipments cannot be used by either a carrier or a shipper as justification for refusing to release the cargo or to pay lawful freight money.” *Id.* at *6 (quoting *Bernard & Weldcraft Welding Equip. v. Supertrans Int'l, Inc.*, 29 S.R.R. 1338, 1356 n.14 (A.L.J. 2003)); *id.* n.20 (collecting cases). Analyzing the facts at hand, the Settlement Officer stated:

The act of holding a shipment for an unrelated shipment's charges is an unreasonable practice under the Shipping Act. The law permits Zim, as a carrier, to exercise a valid maritime lien and hold a shipment based on charges that accrued on the bill of lading covering that specific shipment. However, Zim had a duty to deliver the shipment once that shipment's charges had been paid. Further, Zim knew or should have known that holding the cargo would cause damages to the shipper or consignee. Zim's position that its general lien clause permits such an unlawful holding is not persuasive. When Zim ordered that its agent hold container number ZCSU889833-9 when it would otherwise be released, it violated section 41102(c) of the Shipping Act.

Similar to *Adenariwo*, in *Petra Pet, Inc. v. Panda Logistics Co. Ltd.*, Dkt. No. 11- 14, 2013 WL 9808694, at *8 (FMC Oct. 31, 2013). the Commission, upon affirming the ALJ's Initial Decision, made a similar finding and also cited to *Bernard* for the same proposition. The Commission noted that “[n]one of the arguments made by Panda overcame the well-supported facts and authority cited by the ALJ that held that by withholding and aborting a shipment to coerce payment of debt for other shipments, Panda violated the Act[.]” *id.*, further finding that the ALJ

was cored in “determining that a maritime lien only secures money owed pertaining to the carriage of a particular shipment.” *Id.* at 8-9 (citing 32 S.R.R. 787, 800). Just as described in *Adenariwo* and *Petra Pet*, the law is clear that Epic cannot create lien rights to above those available under the Shipping Act, meaning it has no right to claim a lien over cargo to coerce payment of past amounts Respondents claim were due. Having improperly done so, Respondents violated Section 41102(c) of the Shipping Act.

Respondents’ final argument in this section is a weak attempt to justify their collection practices by claiming an alleged concern over TPG’s “willingness and ability” to pay. Such a suggestion is nonsensical and has nothing to do with the facts at hand. Purported concerns—whether true or simply a last-ditch excuse—do not justify coercive practices, especially here, where there is uncontroverted record evidence that Respondents were well aware that TPG disputed the charges upon which Respondents were seeking to collect.

F. Respondents Are Liable for Violations of the Shipping Act Sections 41104(a)(14), (15) (OSRA) with Respect to All Invoices That Are Not Pass-Through.

As set forth in the Opening Brief, the Ocean Shipping Reform Act of 2022 (“OSRA 2022”) provides that any invoices issued after June 16, 2022, must comply with the requirements of OSRA 2022. In other words, by law, Respondents’ invoices issued after the effective date of the OSRA 2022 must include all information required in the statute. Respondents failed to include all information as required, resulting in \$59,789.47 in what TPG has calculated as improper charges. (Opening Brief at 30).

In response, Respondents rely on the OSRA 2022 safe harbor provision, which provides that a NVOCC is not liable for noncompliance with the statute if the NVOCC is not the party responsible for the charge. (Response Brief at 34). In other words, Respondents claim they are not

liable for said charges because they merely “passed through” charges from other providers. In support, they claim that they included invoices from the third parties for those charges with their invoices sent to TPG. Respondents’ argument is not accurate. For invoices issued after June 22, 2022, Respondents failed to provide any supporting documentation that would confirm whether charges were pass-through or originated by Respondents for at least 20 invoices. (*See* Capp2487-2505, 2517-18, 2603). Accordingly, Respondents’ calculation is inaccurate.

G. Respondents Fail to Rebut TPG’s Evidence

Respondents claim that TPG fails to meet its burden of proof and persuasion in establishing any alleged Shipping Act violations. Respondents conflate the burden of persuasion with the burden of producing evidence and impermissibly seek to escape their burden to refute. While the burden of persuasion does not shift, the burden of producing evidence does in some cases. *See Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, FMC Case No. 08–03, 2014 WL 9966245, at *14-15 (F.M.C. Dec. 17, 2014), *remanded on other grounds, Maher Terminals, LLC v. Fed. Mar. Comm’n*, 816 F.3d 888 (D.C. Cir. 2016). The complainant has the burden of persuading the Commission that a practice is unreasonable, and if that burden is met, the burden of refuting that conclusion is on the respondent. *See River Parishes Co. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 751, 765 (FMC 1999); *Exclusive Tug Arrangements in Port Canaveral, Fla.*, 29 S.R.R. 1199, 1222 (ALJ 2003). “Where a party having the burden of proceeding has come forward with a prima facie or substantial case, he will prevail unless his evidence is discredited or rebutted.” *Gruenberg-Reisner v. Overseas Moving Specialists*, Decision on Remand, 2017 WL 2241031, at *19 (FMC May 17, 2017) (citing *Steadman v. SEC*, 450 US 91, 102 and 101 n.16 (1981)).

While Respondents acknowledge the shifting of the burden of proof from the invoiced party to the common carrier, they erroneously contend that such shift is inapplicable to the invoices

predating enactment of OSRA 2022 on June 16, 2022 (Response Brief at 5). Respondents are wrong because shifting the burden of proof has been well established in numerous Commission decisions predating OSRA 2022, as demonstrated above.

According to the Commission precedent, carriers (including NVOCCs such as Respondents) must produce evidence supporting the propriety of substantial charges.⁶ **“The fact of substantial charges alone is sufficient to require the carrier to come forward with some proof of their propriety.”** *C.H. Leavell & Co. v. Hellenic Lines, Ltd.*, 13 F.M.C. 76, 89 (FMC 1969) (emphasis added). In *Gruenberg-Reisner*, when the respondent, Overseas, failed to provide invoices from the ocean common carriers supporting the charges, the Commission ruled that invoices be requested from Overseas again and should Overseas be unable to produce them “the SCO look at other factors such as whether the charges were similar to those assessed by other NVOCCs,” because “[t]he invoices however, are not the only indication of whether the charges were reasonable.” *Gruenberg-Reisner v. Overseas Moving Specialists, Inc.*, 34 S.R.R. 613, 623 (FMC 2016). On remand, in compliance with the Commission’s recommendation, respondent was required to submit evidence the charges were reasonable. *Gruenberg-Reisner v Overseas*, 2017 WL 2241031, at *14. In their Response, Respondents cite to the Commission’s Opinion in *Gruenberg-Reisner* for the proposition that invoices are not the sole measure of reasonableness of Respondents’ practices, yet in the same breath, Respondents fail to recognize they have the burden of proof to support reasonableness of their charges (Response Brief at 14). As further discussed

⁶ In *Gruenberg-Reisner v. Overseas Moving Specialists, Inc* the charges in the amounts of \$1,941.56 for the U.S. terminal handling charges and \$2,533.47 for the fuel surcharge were found to be “substantial.” *Gruenberg-Reisner v Overseas*, Decision on Remand 2017 WL 2241031, at *35 (FMC May 17, 2017).

below, Respondents failed to submit supporting documentation that would justify the propriety of the disputed demurrage and detention amounts. It is appropriate to draw an adverse inference against Respondents due to Respondents' failure to produce documents within their control.⁷

Neither does Respondents' reliance on the "safe harbor" provision under 46 U.S.C. § 41104(e) relieve Respondents from their burden of proof. The "safe harbor" rule provides:

"If a non-vessel operating common carrier **passes through to the relevant shipper an invoice** made by the ocean common carrier, and the Commission finds that the non-vessel operating common carrier is not otherwise responsible for the charge, then the ocean common carrier shall be subject to refunds or penalties pursuant to subsection (d)(1)." 46 U.S.C. § 41104(e).

Here, Respondents did not pass through to TPG the ocean common carriers' invoices as required by OSRA 2022 – in fact, most of Respondents' charges were not even supported by ocean common carriers' invoices (Opening Brief at 30). In addition, contrary to Respondents' assertion, the plain language of the "safe harbor" provision does not apply to demurrage imposed by marine terminal operators ("MTOs") as is the case here. Respondents misleadingly cite TPG's Shipment Chart CApp. Vol. Vol. VII, rows 855-902 and associated invoices to claim that each of the invoices issued after OSRA 2022's effective date included as an attachment proof of payments to third parties for the invoiced charges (Response Brief at 34), however these rows of the Shipment Chart clearly show that no support was provided for Respondents' invoices, Respondents provided only

⁷Under the adverse inference rule, "when a party has relevant evidence within his control which he fails to produce, that failure gives rise to an inference that the evidence is unfavorable to him." *Jamteck International Shipping Inc., And Angella Barnett-Walker - Possible Violations of The Commission's Regulations* at 46 C.F.R. Part 515, Dkt. 07-09 (ALJ July 27, 2009). Here, Respondents claim that "[w]ith each invoice, Respondents provided TPG with in gate and out-gate tickets demonstrating the date the container left the terminal and was returned." Response at 12. As explained further below, Respondents failed to produce any documents supporting this assertion.

evidence of credit card payment (as Respondents admit), which establishes only that certain charges were paid, it does not give any additional information and is not the kind of support envisioned under OSRA. In addition, Respondents marked up the carriers' charges. (*Id.* at 2). In any event, Respondents did not establish that they were not responsible for the charges because Respondents failed to provide any evidence, such as invoices from the ocean carriers or marine terminals, establishing the propriety of the charges.

TPG's respectfully submits that the evidence clearly establishes that Respondents' practices and regulations in handling TPG's cargo violated the Shipping Act. Respondents' Response to TPG's Opening Brief has failed to refute TPG's evidence of Respondents' liability. Further, TPG has limited burden with respect to the showing of damages sufficient to recover reparations:

III. TPG Properly Substantiated Its Damages

As set forth above, TPG has demonstrated violations of the Shipping Act. TPG has also shown that Respondents' conduct is the proximate cause of TPG's damages. Complainant must prove with "competent evidence" that it sustained actual loss or injury and that the violation of law was the proximate cause of that loss or injury with "reasonable certainty." . . . "In some instances, **when precise evidence measuring financial injury is unavailable** because of the nature of the violation, **the Commission will rely on reasonable estimations**, as do the courts, so that **the wrongdoer does not benefit from its misconduct.**" . . . Moreover, **when the wrongdoer's actions prevent the precise calculation of damages, the wrongdoer must bear the risk of that uncertainty.** *California Shipping Line, Inc. v. Yangming Marine Transport Corp.*, 1990 WL 427466, at *23 (FMC 1990). However, "alleged damages based on unreliable or speculative evidence are not allowed." *Rose International, Inc. v. Overseas. Moving Network*

International, Ltd., 2001 WL 37115381, at *197 (FMC 2001) (quoting *Adair v. Penn-Nordic Lines, Inc.*, 26 S.R.R. 11, 25, 1991 WL 383091, at *23 (ALJ 1991) (emphasis added)).

It is undisputed that TPG has the burden to prove it is entitled to reparations, and that reparations are based upon actual damages. *See Kobel v. Hapag-Lloyd A.G.*, 33 S.R.R. 594, 597, 2014 WL 5316331, at *13 (ALJ 2014). “Actual damages means compensation for the actual loss or injuries sustained by reason of the wrongdoing.” *Id.* In *Kobel*, a decision on which Respondents rely, the complainant was found to have met its burden to prove actual injury and was awarded actual damages for Shipping Act violations, plus interest from the date of the violations. *Id.* Two respondents were held jointly and severally liable. *Id.* Similarly here, TPG has meets its burden to prove actual injury and is entitled to reparations.

1. Respondents Are Responsible for Any Gaps in the Record

Regarding the Respondent’s assertion that TPG has not particularized invoices, charges, or acts or omissions, Respondents rely on incorrect assumptions, ignoring that TPG is claiming that the charges Respondents invoiced are unreasonable on their face because of the excessive sum and lack of evidence documenting propriety. Moreover, as already established, Respondents continue to ignore the fact that TPG repeatedly requested documentation regarding Respondents’ charges, which Respondents willfully refused and failed to provide. This places TPG in an untenable position, and Respondents cannot be rewarded for their own improper conduct to evade liability. TPG established with competent evidence that it incurred direct damages proximately caused by Respondents in the amount of at least \$584,837.29. In accordance with the Commission precedent, the Commission may rely on reasonable estimations here as the precise evidence measuring TPG’s financial injury may not always be available due to the nature of Respondents’ violations. To the extent Respondents’ failure to produce evidence supporting the amounts of the disputed demurrage

and detention bills prevents the precise calculation of damages, Respondents must bear the risk of that uncertainty. Accordingly, any gaps in the record must be construed against Respondents.

2. The Shipment-by-Shipment Approach Is Not Required

Contrary to Respondent's arguments, Commission precedent does not require a complainant to show demurrage charges that could have been avoided on a shipment-by-shipment basis. Respondents cite to *Eurousa Shipping Inc., Tober Group, Inc., and Container Innovations Inc. – Possible Violations of Shipping Act*, 31 S.R.R. 967 (ALJ 2009), for the proposition that the shipment-by-shipment analysis is required. The ALJ in that matter acknowledged that “utilizing a shipment-by-shipment analysis ... is not an approach[] that is required in all situations” 278 shipments were at issue in that case, 33 of which involved the particular defendant Tober Group, Inc. Although the ALJ found that a shipment-by-shipment analysis in that case was appropriate to evaluate the 33 shipments “to determine whether both Tober and the intermediary operated as NVOCCs on the shipment,” *id.*, that matter involved a fraction of the over 900 shipments at issue in this case. Further, the *Eurousa* decision on which Respondents rely—wherein the ALJ found that the Claimant did not meet its burden of persuasion—was vacated in part and reversed in part. The final Commission decision found: “Tober violated sections 10(b)(11) and 10(b)(2)(A) (46 U.S.C. §§ 41104(11) and 41104(2)(A)) of the Shipping Act, and the Commission's regulations at 46 C.F.R. § 515.27, by knowingly and willfully accepting cargo from or transporting cargo for the account of an entity acting as an ocean transportation intermediary without a tariff or bond as required by sections 8 and 19 of the Shipping Act, and by providing service in the liner trade that was not in accordance with rates and charges contained in a published tariff.” *Eurousa Shipping Inc., Tober Group, Inc., and Container Innovations Inc. – Possible Violations of Shipping Act*, Order Affirming in Part, Reversing in Part, and Vacating in Part Initial Decision on Remand, 2013

WL 9808689, at *22 (Sept. 10, 2013). The Commission reversed “the assessment of penalties based on characteristics of and circumstances related to each individual shipment,” and *instead applied a uniform penalty for each violation. Id.*

Accordingly, Respondents’ reliance on a “shipment-by-shipment” methodology is patently incorrect, and there is no requirement written into the statute that would require such methodology. Considering the sheer number of shipments at issue in this case and the limited time the statute requires for resolution, the circumstances does not warrant or require a granular shipment-by-shipment analysis. To require such an approach would contravene Commission precedent. It would also be unreasonable in this situation, where Respondents were the sole parties with the ability to access the information necessary to determine if the charges were reasonable and did not provide it. The claim is premised on Respondents’ failure to provide sufficient documentation to evaluate the charges - forcing TPG to explain in detail why each charge is unreasonable without the information to make that assessment, which only Respondents were in a position to provide, would be allowing Respondents to use their own negligence as a sword and a shield.

3. Claims for Chassis Fees and Storage Fees Are Proper

Next, contrary to Respondents’ claims, the inclusion of damages for chassis fees is not “bizarre” but rather supported by record evidence. While true that TPG agreed to quoted terms and prices, including a minimum two-day chassis rate, anything beyond two days is unreasonable where there is no justification. The record does not conclusively reflect that Respondents provided “in-gate and out-gate receipts” and in fact, often Respondents did not provide this information. TPG is not requesting a windfall; TPG has reduced its claim for chassis fees by two days per shipment.

In similar fashion, TPG's claim for storage fees is proper. None of Respondents' charges are supported with documentation for the storage fees. Again, the Ship Canal project is the sole instance that Respondents have identified is just one instance involving five invoices. The remainder of TPG's claim for storage fees stands.

4. TPG's Damages Are Calculated with Reasonable Certainty

Finally, TPG has asserted its claim for damages with reasonable certainty. *Gruenberg-Reisner v. Overseas Moving Specialists, Inc.*, 2016 WL 11942284, at *10 (FMC 2016). Concerning reasonable certainty, the amount of damages "can be based on something less than precision but something based on a reasonable approximation supported by evidence and by reasonable inferences, . . . damages must be foreseeable or proximate or, in contract law, within the contemplation of the parties at the time they entered into the contract" *OJ Commerce, LLC v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & CO. KG, et al.*, Initial Decision, Dkt. No. 21-11 (June 7, 2023) (quoting *Tractors & Farm Equipment Ltd. v. Cosmos Shipping Co.*, Docket No. 81-57, 26 S.R.R. 788, 798-99 (ALJ Nov. 23, 1992), admin. final, Dec. 31, 1992). TPG's damages are supported by evidence and reasonable inferences, and its damages are foreseeable, proximate, and in within the contemplation of the parties.

The documents in TPG's appendix and Shipment Chart articulate the amounts charged by Respondents that contain no supportive documentation despite TPG's demands. Respondents cannot rely on their failure to provide documentation to rebut TPG's claims.⁸ Respondents seek to benefit from their failure to comply with their obligations to provide documentation. It is

⁸ Analogously, in the Ocean Shipping Reform Act of 2022 demurrage or detention charges, the common carrier bears the burden of proof for establishing the reasonableness of any demurrage or detention charges. 46 U.S.C. § 41310(b)(2). Respondents have failed to do so.

insufficient and disingenuous for Respondents to claim, in some instances, that they did not receive backup documents from third parties. That begs the question that Respondents have failed to answer: whether Respondents actually requested those documents. Respondents are the parties in a position to make that request—not TPG. Thus, any failure to produce documents on Respondents' part should be construed against Respondents and in favor of TPG.⁹

5. TPG's Shipment Chart Is Admissible

TPG is permitted to rely on its Shipment Chart as a convenient manner to digest voluminous records, and Respondents' attempts to discredit the Shipment Chart as credible evidence to demonstrate damages fails. The Shipment Chart is a compilation of other records produced in this proceeding that can be authenticated. Respondents overlook precedential decisions that admitted this very type of evidence, relying on the Federal Rules of Evidence ("FRE"). See *Worldwide Relocations*, 31 S.R.R. 1471, 1493-98, 1501-02, 1505 2010 WL 11768817 (ALJ 2010). In *Worldwide Relocations*, the ALJ admitted a similar chart with voluminous shipment entries into evidence under FRE 611(a), which gives adjudicators the discretion to determine issues concerning examination of witnesses and presentation of evidence. *Id.*; see also *Euroussa Shipping Inc., Tober Group, Inc., and Container Innovations Inc. – Possible Violations of Shipping Act*, Order Vacating Initial Decision in Part, Reversing in Part, and Remanding for Further Proceedings, 2012 WL 11914714, at *2 n.3 (Apr. 12, 2012) (discussing ALJ's application of FRE 611(a) to admit chart).

⁹ Respondents claim that TPG is not entitled to damages concerning shipments that arrived in a port outside of the United States. However, TPG has not included any damages for shipments that arrived outside of a U.S. port.

“A trial judge also may allow use of a chart or other summary tool under Fed. R. Evid. 611(a), which gives the trial court control over the mode . . . [of] presenting evidence.” *United States v. Milkiewicz*, 470 F.3d 390, 397 (1st Cir. 2006) (cleaned up) (affirming admission of chart pursuant to FRE 611(a) and clarifying that prior introduction of the chart would not have prohibited it from being admitted under FRE 1006). “Such summaries most typically are used as pedagogical devices to clarify and simplify complex testimony or other information and evidence or to assist counsel in the presentation of argument to the court or jury.” *Id.* (cleaned up). Additionally, under FRE 1006, “[t]he proponent may use a summary, chart, or calculation to prove the content of voluminous writings, recordings, or photographs that cannot be conveniently examined in court.” Under these authorities, the Shipment Chart is admissible to prove the content of those other records.

CONCLUSION

The evidence in the record reflects that Respondents, Epic and Omni, engaged in deceptive and fraudulent conduct in regard to its billing practices, resulting in TPG having to pay \$584,837.29 in unjustified demurrage and other ancillary charges. To the extent that the record is incomplete as to the total amount of damages suffered by TPG, it is direct result of Respondents’ willing and deliberate refusal to provide relevant information. Accordingly, any uncertainty or gaps in the record should be construed against Respondents and a judgment should be entered against Respondents in the amount at least \$584,837.29.

Dated: April 9, 2024

Respectfully submitted,

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CERTIFICATE OF SERVICE

I certify that on April 9, 2024, a true and correct copy of the foregoing document was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Initial Order of December 6, 2022, as follows:

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